

is in debt. Many have bought a house together, and now they're saddled with a mortgage while still paying off their student loans. These kids have barely begun their life together and already they are struggling under the weight of thousands of dollars of debt.

I'll give you the same advice I give these couples. Right now, you have only two financial goals: get out of debt and pay off your mortgage; and keep putting 10 percent of your income into your Secret 10.

Money Mistake: *You're Bleeding Money Left and Right*

The Fix: *Honor the 90/10 Rule*

I call this the 90/10 Rule. For every dollar you earn, 90 cents should go to paying off debt, and 10 cents should go to your Secret 10. The 90/10 Rule supersedes everything until you've paid off all your debt. You don't travel. You don't buy a fancy sports car. You don't give to charity. You shouldn't even have an investment portfolio, unless that's where you put your Secret 10. My dissenters say my strategy is too myopic. "You can't really expect people to put 90 cents of every dollar toward their mortgage, Kevin," they say. "Everybody needs to let off steam." Sure they do. So you better find ways to let off steam that don't involve spending money.

Let me tell you why you should pay off your mortgage before doing anything else. The interest rate on a mortgage today is about 3.8 percent. That means *you are guaranteed to make 3.8 percent* simply by paying off a debt that costs you 3.8 percent. There is no other investment in the world that guarantees you a 3.8 percent return. Stocks and bonds are not guaranteed, as we discovered in 2008 when everything collapsed. They came back, but that's a lot of volatility. If you put all your money toward paying off your mortgage, there's no volatility and no risk. You are guaranteed a high rate of return.

Plenty of people disagree with me. In David Chilton's first book, he argued for diversification; he advised his readers to put two-thirds of their money into stocks and bonds and devote the final